Decision Memo - Amazon Project 1

Final submission draft | October 19, 2026

AI-assisted educational coursework; not financial or investment advice. Historical valuation date: February 6, 2026. Forecast: 2026-2030. Proposed investment horizon: three to five years. Fund starting position: no Amazon holding.

Committee request: watch/defer initiation

Do not commit capital on the strength of this model alone. Its mechanical price comparison is unfavorable, but several economic assumptions remain insufficiently supported. The justified action is further investigation of capital productivity and valuation inputs, rather than claiming a validated fair value or a present-day trading recommendation.

Calculated results

Base value: $73.31 per share versus the historical comparison price of $210.32. Enterprise value is approximately $755.27 billion and equity value approximately $799.47 billion. Terminal value contributes 94.2% of enterprise value.

Selected joint scenarios produce $5.21 downside, $73.31 base, and $179.16 upside. These are conditional combinations of assumptions, not probabilities, confidence intervals, or a validated investment range. The upside combines stronger demand and margins, improved capital productivity, and a lower required return. The downside combines weaker operating conversion with higher investment and discount-rate assumptions.

Business logic and recommendation-changing claim

Growth must generate incremental operating cash returns that justify the investment required to deliver it. AWS growth contributes operating profit, while retail margins and working-capital behavior affect consolidated cash generation. Large infrastructure spending reduces near-term free cash flow. Faster growth is therefore paired with additional later capex in the model.

Management's approximately $200 billion 2026 company-wide capex outlook informs the initial investment amount. The later spending fade and 0.65 capacity-response coefficient are model judgments, not disclosed guidance. Whether this investment path is defensible is central to interpreting the recommendation. This AI-assisted analytical statement does not substitute for the student's required AI-off claim exercise.

Valuation and cross-checks

FCFF is discounted at WACC. Terminal reinvestment is determined by growth and incremental ROIC. The enterprise-to-equity bridge includes excess cash, securities, adjusted private investments, debt, finance leases, and financing obligations. Dilution uses an assumed point-date proxy; private-investment realization and tax adjustments are conventions needing support.

Holding explicit cash flows and other specified assumptions fixed, matching the historical share price requires approximately 31.3% terminal EBIT margin. No AWS-growth solution was found within the tested 10%-40% initial-growth bracket. Neither calculation establishes the market's actual expectations. Alphabet and META multiples are limited platform comparisons; retail coverage and bridge/normalization differences remain unresolved.

Risks and decision conditions

The 10% WACC is a judgment hurdle rather than an estimated market WACC. Segment pre-depreciation margins need historical allocation support. Cash capex and lease additions need reconciliation. Depreciation lives, the stable-growth transition, and terminal ROIC require economic defense. The December balance sheet proxies the February date without a cash-flow stub adjustment.

Reconsider initiation only after these inputs are supported and the resulting scenarios provide an adequate return cushion. The model uses 20% upside as an initiation screening threshold, not sufficient investment evidence. At the historical price, that screen is approximately $252.38 per share. This numerical threshold is an analyst policy, not a statistically validated margin of safety. Retain watch/defer if the conclusion depends on unsupported investment reductions or terminal assumptions.

Evidence and scope

Eight automated test methods and 29 base checks pass; independent recomputation of DCF arithmetic reproduces $73.3057085. Accounting consistency does not validate economic forecasts. Primary source URLs and model assumptions are in data/inputs.json; normalized-history considerations are in assumption-challenges.md; peer limitations are in peer-check.md. Independent student work and submission access remain separate requirements.